温州肯恩大学
WENZHOU-KEAN UNIVERSITY

GMBA 5885 W02
Strategic Mgt Global Info Sys

IS Strategy Triangle

Day 2 · Morning Session

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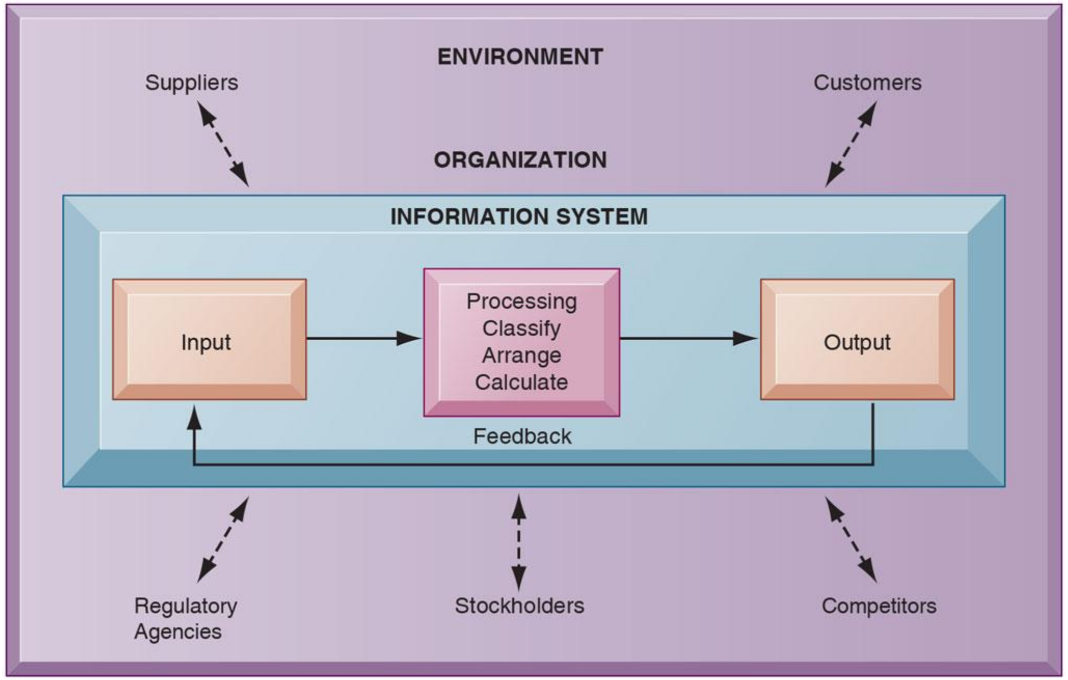
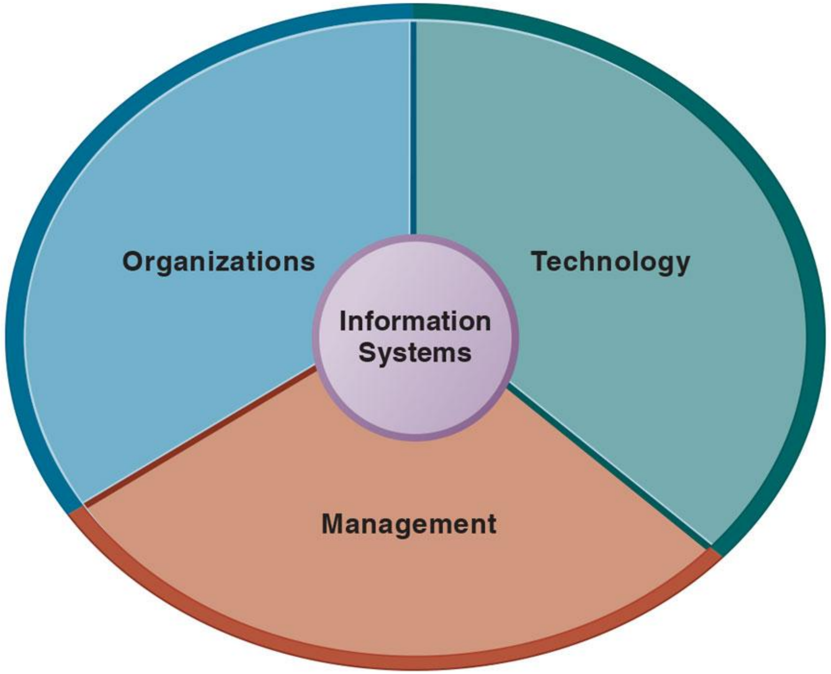
Review





Sources: Laudon Ch.1

Day 2 Roadmap

SWOT

Morning

Inside the firm — alignment

IS Strategy Triangle

- Three corners: business, organization, information
- Alignment and misalignment

Case: *Southwest Airlines + Judo Bank*

Afternoon

Strategic use of information resources

Three analytical lenses

- Porter's Five Forces — outside
- Value Chain — inside
- Resource-Based View — sustaining

Case: *Zara*

Today's unifying question: ***when does IS create value, and when does it fail to?***

Learning Objectives

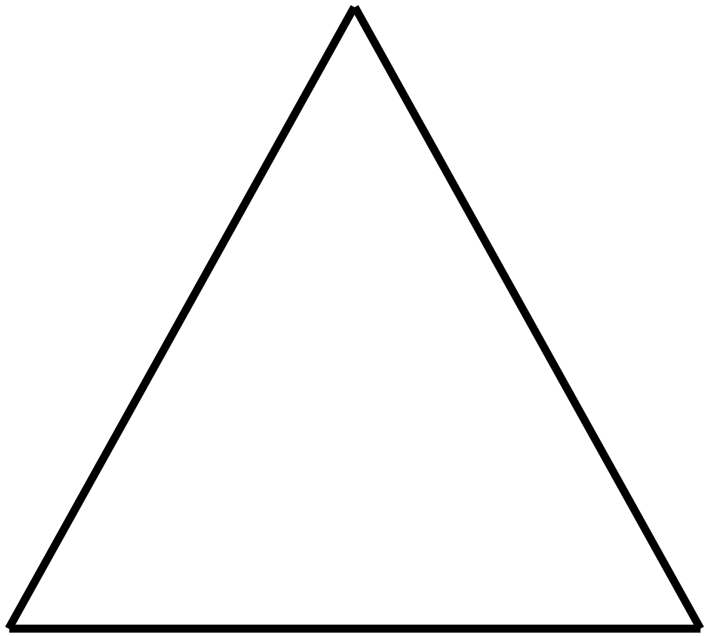
By the end of this session, you should be able to:

1. **Explain the IS Strategy Triangle**
   Describe business, organizational, and information strategies and how they relate

2. **Diagnose alignment and misalignment**
   Identify whether the three corners point in the same direction — and spot the symptoms when they do not

3. **Apply the triangle to real cases**
   Use the framework to explain why working systems still under-deliver and what a manager should change

IS Strategy Triangle



Source: Pearlson et al., Ch.1

Questions

1 What are they?

- Business strategy
- Organizational strategy
- Information strategy?

2 What are their relationships?

- Alignment
- Misalignment
- Who come first?

Corner 1 — Business Strategy

Definition

A plan articulating where a business seeks to go and how it expects to get there — a coordinated set of actions to fulfill objectives, purposes, and goals.

Core question

What are we trying to achieve, and how?

Kaiser Permanente

- Shift from reactive treatment to proactive, preventive care.
- *Value proposition:* keep members healthy, not just treat them when sick.
- *Strategic implication:* success is measured in patient outcomes, not volume of procedures.

Amazon

- Dominate retail through price, speed, and convenience — not physical stores.
- *Mission:* "Earth's most customer-centric company."
- *Strategic implication:* every decision is tested against customer obsession and a "flywheel" of growth.

Corner 2 — Organizational Strategy

Definition

The organization's design and the choices it makes to define, set up, coordinate, and control its work processes.

Core question

How will the company organize to achieve its goals and implement its business strategy?

- **Structure:** Reporting relationships and decision rights
- **Process:** How work actually gets done, day to day
- **People:** Skills, roles, formal and informal networks
- **Incentives:** Performance measures, rewards, culture
- **Culture:** Values, norms, what is celebrated and punished

Corner 3 — Information Strategy

Definition

The plan an organization uses to provide information systems and services — a set of choices about platforms, applications, networks, and data.

WHAT?

Platforms, applications, networks, and data — the technology itself.

WHO?

System owners, users, managers, vendors, platform partners — and their decision rights.

WHERE?

Where the technology resides — on-premise, cloud, edge, partner systems — and where data lives.

Alignment – When the Triangle Works

Alignment	*The three strategies are consistent with and mutually supportive of each other — no strategy pulls in a different direction.*

<u>Example: Kaiser Permanente</u>

Business

Shift from reactive treatment to proactive, preventive care for members.

Organization

Physicians on flat salary with outcome-based bonuses; care coordinators embedded in teams.

Information

KP HealthConnect integrates records, appointments, and billing; mobile apps and analytics enable prevention at scale.

Each element amplifies the others. Members stay healthier; physicians focus on outcomes; the IS surfaces the right risks at the right time.

Misalignment – When the Triangle Breaks

Misalignment	*One or more strategies are inconsistent with the others. The firm invests in systems or structures that do not support its stated goals.*

Three common symptoms of misalignment

1 Technology works; nobody uses it

The system is delivered on time and on budget, but employees work around it or ignore it. The IS changed; the organization and strategy did not.

2 Efficiency rises; satisfaction falls

A new tool optimizes an internal metric, but the metric is not what customers value. The IS optimized the wrong part of the triangle.

3 Data is duplicated; trust is absent

An enterprise system is live, but teams keep parallel spreadsheets. The formal system changed; incentives, training, and culture did not.

Your experience

Case – Southwest Airlines, December 2022

Southwest®

What happened

- A winter storm on 21 December 2022 triggered widespread disruption across the U.S. aviation network.
- Southwest cancelled more than 16,700 flights between 22 and 29 December — far beyond the cancellation rate of any major competitor.
- More than one million passengers were stranded; bags were separated from owners for days.
- Southwest flew more than 500 flights without paying customers to reconnect lost bags and reposition crews.
- Estimated direct cost: ~$1 billion in lost revenue, overtime, compensation, and customer goodwill.
- March 2023: Southwest announced a ~$1.3 billion *Technical Action Plan to modernize scheduling and operations technology*.

16,700+
flights cancelled in nine days

~$1 B
estimated direct cost

~$1.3 B
announced remediation

Source: Pearlson et al., Ch.1

What Went Wrong at Southwest?

If you were on the board, how would you explain this to shareholders?

The weather

An unusually severe winter storm hit the U.S. on 21 December 2022, disrupting all airlines.

The technology

A crew-scheduling system (reportedly SkySolver) could not reassign staff at the required scale.

The business strategy

A point-to-point route network spreads crews across many stations instead of hub-and-spoke.

The people & culture

Years of deferred technology investment and a shift in priority from employees to shareholders.

Take 90 seconds: using the triangle you just learned, which corner(s) failed — and why only one answer is not enough?

Diagnosis — All Three Corners Were Out of Alignment

The meltdown was not caused by any single factor. Each of the three strategic corners failed the others.

Business Strategy

Rapid, point-to-point growth

Expanding network of 121 locations; crews often rode flights to reach assigned aircraft. Redundancy was low by design.

Organizational Strategy

Priorities shifted over time

Staffing and crew bases were geographically dispersed; leadership focus moved from "employees first" toward shareholder returns.

IS Strategy

Under-invested, aging backbone

Crew-scheduling software had been flagged by unions for years. When storm hit, the manual backup overwhelmed phone-based recovery.

Takeaway

Technology did not fail on its own. Business strategy, organizational strategy, and IS strategy drifted out of alignment over years — the storm only exposed the gap.

Does Business Strategy Come First?

VIEW 1

Business strategy leads

Strategy sets the direction; organizational design and IS are shaped to support it. Most textbooks start here — strategy first, then structure and systems.

VIEW 2

IS enables new strategy

Sometimes IS capabilities open strategic options that did not previously exist. Amazon's logistics platform made same-day delivery a strategy — the IS came first.

VIEW 3

Often they co-evolve

In practice, all three evolve together. A change in one creates pressure to adapt the others — there is no fixed starting point.

No fixed order

What matters is that all three remain **consistent**. At Kaiser Permanente, vision came first, but IS and org redesign had to happen simultaneously before the strategy could work.

Deepening Each Corner of the Triangle

Each corner of the triangle contains frameworks and models that help a manager think more precisely about that dimension of strategy.

Business Strategy	• Porter's generic strategies + Dynamic-environment strategies • Business model vs. strategy
Organizational Strategy	• Managerial Levers model (Cash, Eccles, Nohria, Nolan) • Organizational, control, and cultural variables
Information Strategy	• IS Strategy Matrix • Platforms, applications, networks, data × what / who / where

Deepening Business Strategy — Porter's Generic Strategies

Sustainable competitive advantage comes from a firm's relative position in the marketplace.

Cost leadership

Be the lowest-cost producer in the industry. Quality must be comparable; advantage comes from above-average performance at minimized costs.

Example

Aldi — smaller selection, wider aisles, no-frills stores; minimal staff; self-service checkout.

Differentiation

Offer something the market sees as unique along dimensions customers value. Price premium must seem fair relative to competitors.

Example

Whole Foods — natural and organic focus; strict quality standards; sustainability commitments.

Focus

Limit scope to a narrow segment and tailor offerings. Two variants — cost focus and differentiation focus — within the chosen segment.

Example

Trader Joe's — unique international and own-brand products; "adventure" shopping experience; focused assortment.

Source: Pearlson et al., Ch.1

When Markets Move Faster Than Porter — Dynamic Strategies

Porter's framework assumes relatively stable industries. In turbulent markets, newer frameworks emphasize speed, agility, and self-disruption.

Hypercompetition

In fast-moving markets, advantages are rapidly created and eroded. Firms compete through speed and aggressive move-countermove sequences; trying to sustain one advantage can become a distraction.

Dynamic Capabilities

Firm-specific abilities to sense opportunities, seize them through investment and commitment, and transform the resource base. Built over time, hard to imitate; central to digital strategy.

Creative Destruction

Incumbents cannibalize their own products before competitors do. Apple introduced iPhone while iPod sales were strong, and iPad while Mac sales were strong.

Source: Pearlson et al., Ch.1

Business Model vs. Business Strategy

STRATEGY

The path a company takes to achieve its goals — the coordinated set of actions.

BUSINESS MODEL

The blueprint of how a company does business — a component of strategy that can be argued to be its outcome.

Four value dimensions of a business model

Value proposition	What we offer; which customer group, which market offering
Value architecture	The configuration of core resources and capabilities we need
Value network	Interfirm relationships with key external partners and stakeholders
Value finance	Revenue model, pricing strategies, cost structure

Revenue models within "value finance"

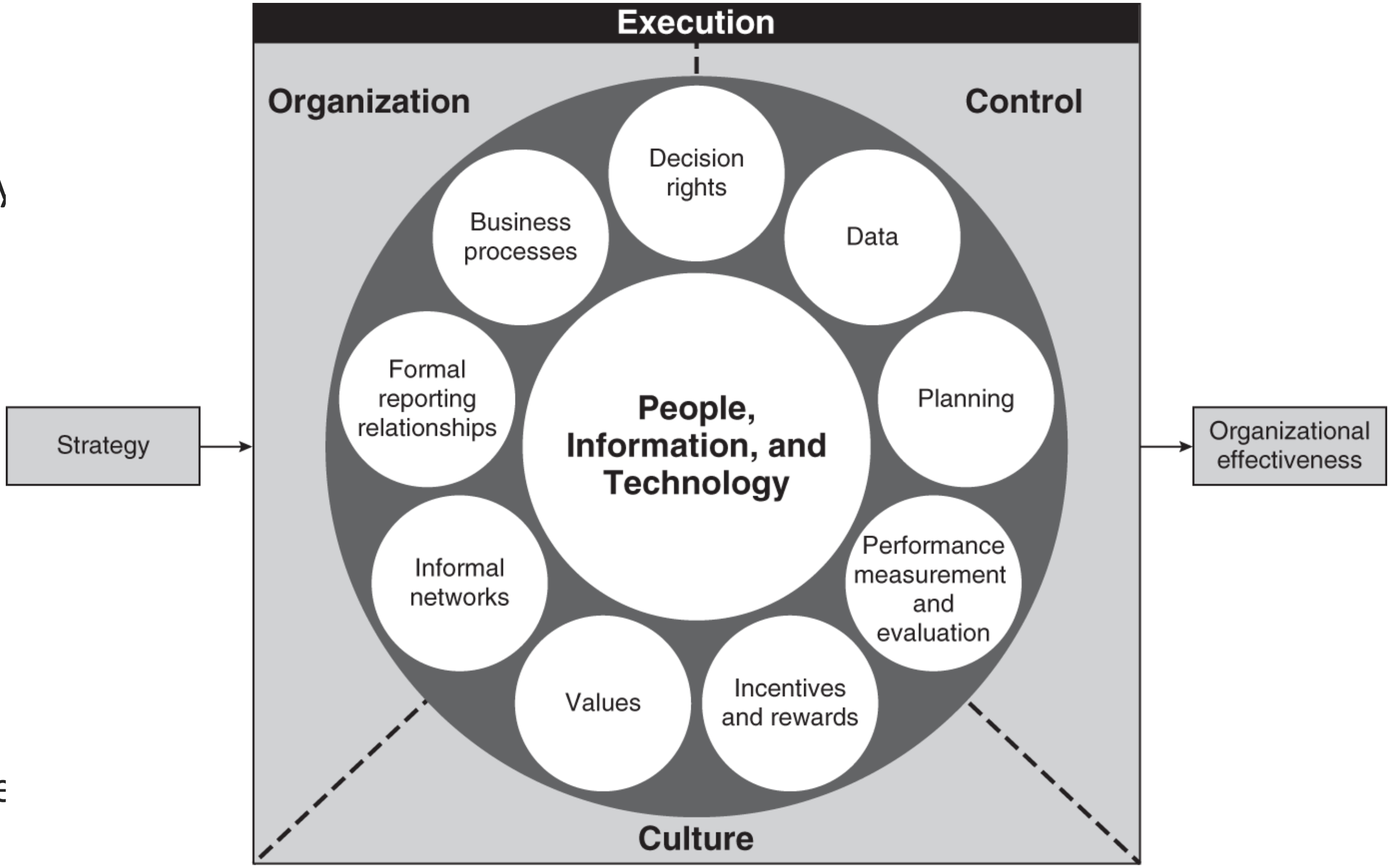
Sales	Subscription	Advertising	Licensing	Freemium
Customers pay to buy	Recurring fee for access	Free to user; sponsors pay	Fee per use or period	Free core; paid add-ons

Deepening Organizational Strategy — Managerial Levers

A framework for organizational design

Successful execution of business strategy comes from the right combination of:

- **Organizational variables**: decision rights, business processes, formal reporting, informal networks
- **Control variables**: data, planning, performance measurement and evaluation, incentives
- **Cultural variables**: values, beliefs, what the firm celebrates and punishes



Source: Cash, Eccles, Nohria & Nolan (1994)

Deepening Information Strategy — The IS Strategy Matrix

	What	Who	Where
Platforms	The "orchestrator" that calls apps to record, report, or transform data	System users and managers; vendors; platform partners	Physical location of devices (cloud, data center, etc.)
Applications	Components that run on a platform — request, record, transform data	System users and managers; app providers and developers	The platform hosting the app and its physical location
Networks	Platform and app components for local or long-distance networking	System users and managers; the company providing the service	Nodes, wires, and transport media
Data	Electronic representation of facts or observations	Owners of data; data administrators	Where the information resides

Case – Judo Bank

Judo Bank — the art of using size and agility to outwit larger opponents

- Australian challenger bank established 2016; licensed ADI in 2019; privately valued at A$1 B within a year.
- Mission: "Australia's most trusted SME business bank." Target: small and medium-sized enterprises.
- Competitive context: four dominant banks (Big Four) operating like an oligopoly.
- Strategic bet: win on relationships, trust, teamwork — values the Big Four could not easily claim.
- IS constraint: no capital to build own IT. Solution: Everything-as-a-Service (X.a.a.S.).
- Outcome: the only one of four new ADI challenger banks to survive and thrive.

A$1 B

private valuation within one year of licensing

What to watch for

- How does IS strategy fit Judo's business strategy?
- What organizational choices complement IT outsourcing?
- Does Judo have a digital business strategy?
- Is the triangle aligned — or are there gaps?

Case Discussion — Judo Bank (1 of 2)

1

Triangle mapping + contrast with Southwest

Map Judo Bank's business, organizational, and information strategies onto the three corners of the IS Strategy Triangle. Then compare: at Southwest Airlines, the three corners drifted apart over decades. At Judo Bank, they were designed together from day one. What specifically did Judo do differently that kept the corners aligned?

2

Alignment assessment — and one risk

Identify two or three specific points where Judo Bank's three strategies mutually reinforce each other. Then identify one potential misalignment risk: if Judo grows rapidly and adds new product lines, which corner of the triangle is most likely to break first — and why?

3

Competitive position

Which of Porter's generic strategies (cost leadership, differentiation, or focus) does Judo Bank pursue? Cite at least two pieces of evidence from the case. Is this strategy sustainable against the Big Four — who have far more capital and could choose to compete in the SME segment?

Case Discussion — Judo Bank (2 of 2)

4

Value dimensions and mission

Identify two or three specific points where Judo Bank's three strategies mutually reinforce each other. Then identify one potential misalignment risk: if Judo grows rapidly and adds new product lines, which corner of the triangle is most likely to break first — and why?

5

Organizational design and IS choices

Which of Porter's generic strategies (cost leadership, differentiation, or focus) does Judo Bank pursue? Cite at least two pieces of evidence from the case. Is this strategy sustainable against the Big Four — who have far more capital and could choose to compete in the SME segment?

Reflection — Bringing It Back to Your Firm

Think of an IS at your organization that technically works — but has under-delivered.

(Please do not share sensitive details — keep contributions at a level you are comfortable with.)

Which corner changed first?

Did the business strategy shift?
The organization restructure?
Or was it a technology change?

Which corner stayed the same?

Which part of the triangle did NOT adapt — and what friction did that create?

What is the visible symptom?

What behavior, metric, or complaint tells you there is misalignment?

What must change besides technology?

If you could redesign one non-technology element, what would have the biggest impact?

Managerial Takeaway

IS is not just an technology decision - it is
a strategic and organizational decision

If you remember only one thing...

When a system disappoints, do not stop at the interface or the vendor. Ask how business goals, organizational design, and IS choices fit - or fail to fit - together.

Why this matters for managers

Managers who stay out of IS decisions risk limiting future business options. They also misdiagnose problems when they treat technology as a back-office issue.

Why this matters for your proposal

In Stage 1, the selected MIS should be analyzed as part of the company strategy, not as a stand-alone tool. The triangle gives you that logic.

Bridge To the Afternoon

This morning — inside the firm

- The triangle is about internal alignment.
- Business, organization, and IS strategies must pull together.
- When they drift apart, working technology still under-delivers.

This afternoon — looking outward

- How does the industry pressure the firm? (Five Forces)
- Where inside the firm does IS add value? (Value Chain)
- Which information resources sustain advantage? (RBV)

What you have just identified internally is exactly what Michael Porter will help you explain from the outside.

Industry rivalry	New entrants	Substitutes	Buyer power	Supplier power

References and AI Use Disclosure

Primary reading

Pearlson, K. E., Saunders, C. S., & Galletta, D. F. (2024). The Information Systems Strategy Triangle. In *Managing and Using Information Systems: A Strategic Approach* (8th ed., pp. 1–34). Wiley.

Opening case source

Pearlson et al. (2024), Chapter 1 opener. Southwest Airlines December 2022 meltdown — Washington Post, New York Times, ABC News, SWAPA letter.

Case source

Breidbach, C. F., et al. (2022). How Everything-as-a-Service enabled Judo to become a billion-dollar bank. *MISQ Executive*, 21(3), 185–203.

Additional sources

Porter (1985); Cash, Eccles, Nohria & Nolan (1994).

AI use disclosure

AI was used as a thinking and design assistant to:

- Structure session flow from problem → framework → application → synthesis.
- Shift from lecture-based slides toward a case-driven discussion format.
- Design discussion prompts and anticipate student responses.
- Simplify concepts and reduce textbook-style density.

Instructor role

All content was reviewed, selected, and adapted by the instructor for this course context.